

Audits of Less Complex Entities: ISA for LCE

Presented by

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IAASB Meeting

June 22–23, 2023

Agenda Item 4



Updated Timeline



Full Standard (Excluding Part 10)



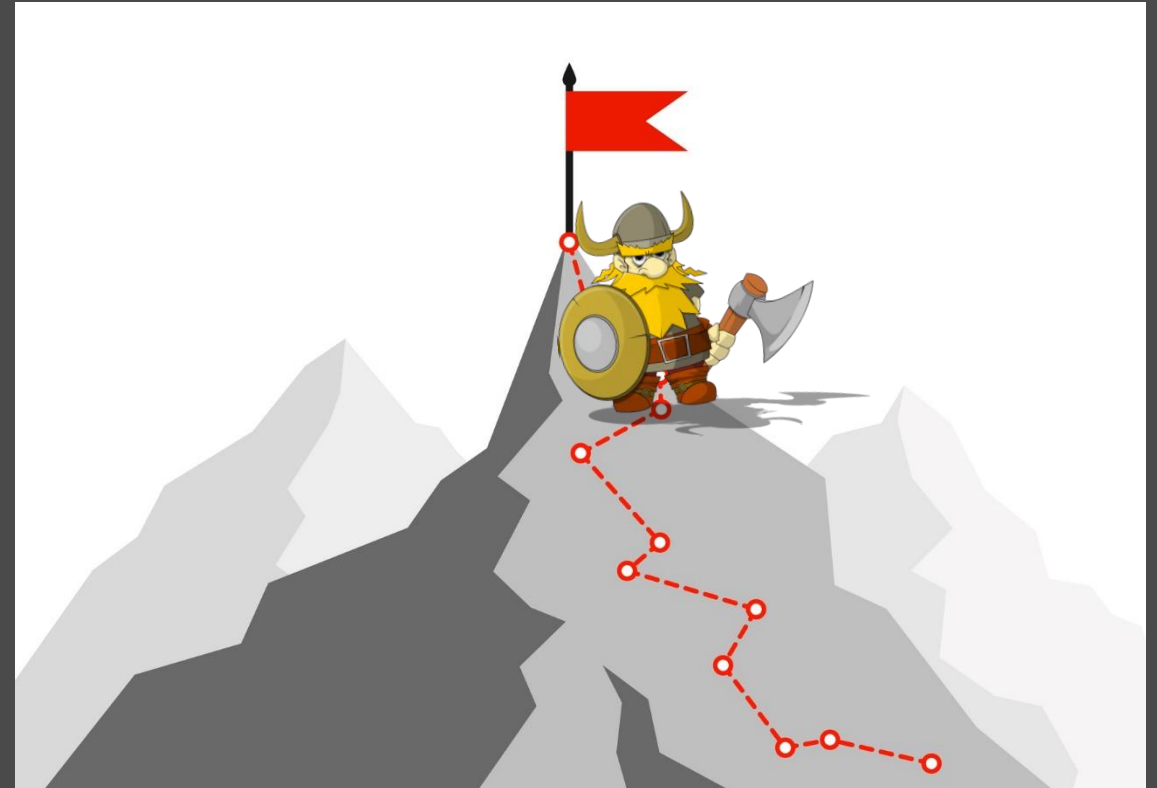
Group Audits and Part 10



Analysis of Feedback on Exposure Draft



Supplemental Guides



Task Force & Staff Activities

Task Force Meetings

IESBA Coordination

LCE Reference Group

NSS Meeting

SMPAG



Preface and Authority

The Authority was discussed in the June, September and December 2022 meetings. The Preface has not been discussed with the Board yet.



Proposed revisions to the Preface

- ISA 800 Series
- ISAs as source of guidance

Proposed revisions to the Authority

- Alignment with IESBA Code
- Reports on Service Organization controls

Matters for IAASB Consideration

The Preface and Authority

1. The Board is asked for their views on proposed revisions to the following Parts as presented in **Agenda Item 4-B**
 - (a) The Preface
 - (b) Part A, Authority

Part 1, *Fundamental Concepts, General Principles and Overarching Requirements*

Feedback: General support but respondents asked for clarity regarding which ethical requirements are being referred to. Other smaller suggestions.



Proposed revisions

- EEM on ethical requirements including the IESBA Code
- Smaller revisions to align with the ISAs, remove repetition and enhance the structure

Matters for IAASB Consideration

Part 1

2. The Board is asked for their views on proposed revisions to the following Parts as presented in **Agenda Item 4-B**

(a) Part 1

....

Parts 2–6

Consideration of Board comments received during March 2023 meeting

Proposed revisions



- Parts 2-6: Enhanced EEM for flow, readability and (where relevant) alignment with ISAs
- Part 4: Reversed previously proposed change to engagement letter: use of ISA for LCE should be included
- Part 5: EEM on Materiality
- Part 6: Requirements and EEM related to process to prepare financial statements and service organizations

Matters for IAASB Consideration

Parts 2 - 6

2. The Board is asked for their views on proposed revisions to the following Parts as presented in **Agenda Item 4-B**

...

(b) Parts 2, 3 and 4

(c) Parts 5 and 6

Part 7, *Responding to Assessed Risks of Material Misstatement*

Feedback: General support with request to add requirements and EEM in several areas (especially audit sampling)



Proposed revisions

- Added EEM throughout Part 7 for the standard to be able to be applied as a standalone standard
 - Audit Sampling: designing a sample, determining sample sizes, selecting items for testing and evaluating the results
- Re-ordered some requirements and EEM to enhance flow and better align with the ISAs

Matters for IAASB Consideration

Part 7

3. The Board is asked for their views on proposed revisions to Part 7 as presented in **Agenda Item 4-B**

Part 8, Concluding

Feedback: General support but with requests for additional requirements related to subsequent events



Proposed revisions

- Added requirements related to subsequent events
- Deleted repetitive requirements
- Other clarifying revisions

Matters for IAASB Consideration

Part 8

4. The Board is asked for their views on proposed revisions to Part 8 as presented in **Agenda Item 4-B**

Part 9, *Forming an Opinion and Reporting*

General support for approach taken and content. Suggestions to delete reference to the ISA for LCE in the auditor's report and other enhancements



Proposed revisions

- Clarifications relating to specified format and content of Auditor's Report
- Added requirements on modifications to auditor's opinion and to address proposed revisions to other parts.

Matters for IAASB Consideration

Part 9

5. The Board is asked for their views on proposed revisions to Part 9 as presented in **Agenda Item 4-B**

Other Matters



Appendices



Conforming Amendments



Matters for IAASB Consideration

Conforming Amendments

6. The Board is asked for their views on proposed revisions to the Conforming Amendments as presented in **Agenda Item 4-D**

Transitioning to the ISAs and Implementation Challenges

Feedback: Guidance requested on transitioning to the ISAs and concerns raised regarding stakeholder perception and acceptance



- Nature of standalone standard and authority
- Guidance on
 - Reporting
 - Procedures to transition
 - Differences between ISAs and ISA for LCE
 - Engagement Letters
- Implementation challenges

Matters for IAASB Consideration

Other Matters

7. The Board is asked if they agree with the Task Force's recommendations to address challenges on transitioning including the proposed support material in paragraph 57 of **Agenda Item 4**

Part 10, Group Audits

Closed May 2023

60 Comment Letters

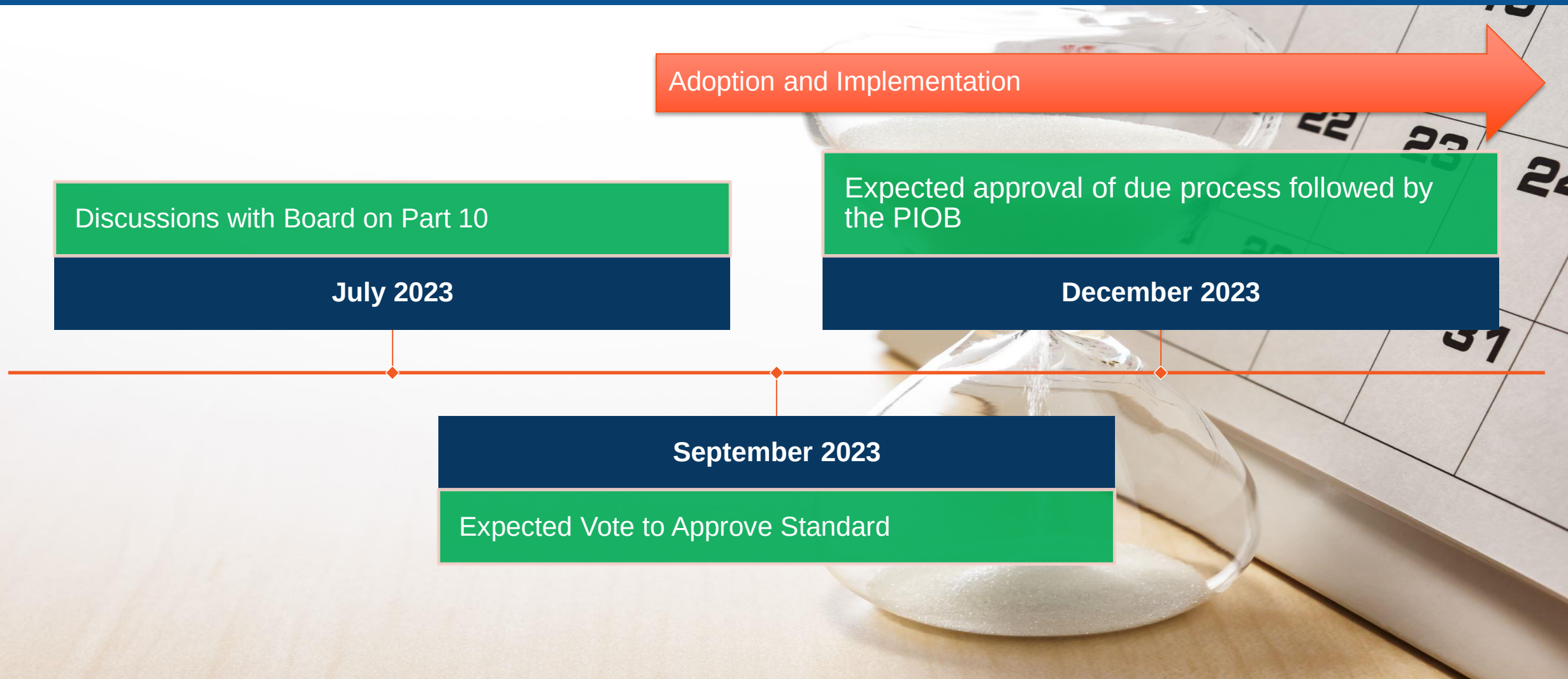
Task Force analyzing comments

- Prohibition relating to Component Auditors
- Group-specific Qualitative Characteristics
- Content of Part 10 and Conforming Amendments

Discussion of feedback and proposed revisions

- July Board Call

ISA for LCE: Way Forward



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